government Charter, namely the Bank of Bengal (est. in 1806 as the Bank of Calcutta), the Bank of Bombay (est. in 1840) and the Bank of Madras (est. in 1843).

With the governance change that followed the first War of Independence in 1857, the Paper Currency Act of 1861 divested these banks of their right to issue currency notes, and the management of Indian currency was entrusted to the Government of India, specifically to the Mint Masters, the Accountant Generals, and the Controller of Currency. The first set of British India notes were the Victoria Portrait series, issued in denominations of 10, 20, 50, 100 and 1,000. To facilitate security, the Victoria Portrait series notes were cut in half. One half was first sent by post to the intended recipient. On confirmation of its receipt, the second half was dispatched by post!

Due to widespread forgeries, the Victoria Portrait series was withdrawn and replaced by the Underprint series, which had several improved security features, such as wavy line watermarks, guilloche patterns, and a coloured underprint. In 1923, a new series, the King's Portrait, with the picture of George V, was introduced. These notes were issued by the Government of India, until the passage of the Reserve Bank of India Act in 1934.

British India currency notes were printed in Great Britain until the Currency Note Press was established in Nashik in 1928. By 1932, the Nashik Press was printing all of India's currency, with the enhanced security features.

The RBI was formally inaugurated on 1 April 1935 with its central office in Calcutta. It took over the functions of the Controller of Currency and issued its first note – a ₹5 note, bearing the portrait of King George VI, in January 1938. This was followed by ₹10 in February, ₹100 in March, and ₹1,000 and ₹10,000 in June 1938.

The George VI series continued till 1947, and thereafter as a frozen series till 1950, when the first post-Independence notes were issued by the RBI, using the Lion Capital of Sarnath as the main feature, in place of King George's portrait.